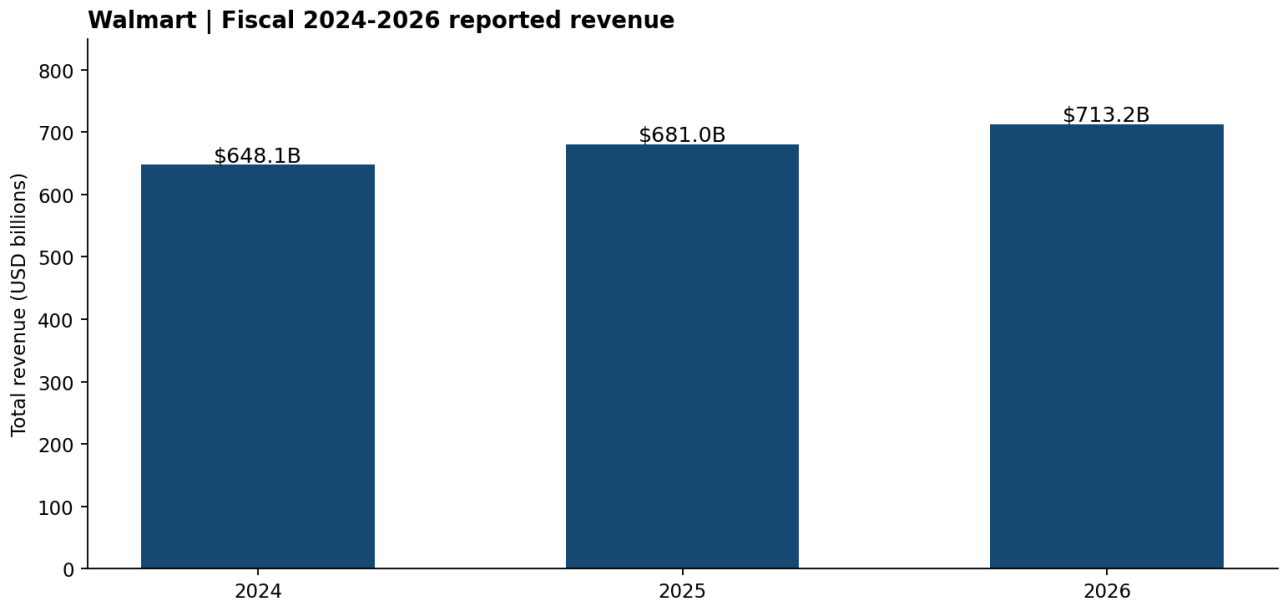
Walmart | Financial Research Brief

Equity research practice | FY2024-FY2026 actuals | USD millions unless indicated | Not investment advice

FY2026 reported revenue	**$713.2B | +4.7% YoY**
FY2026 reported EBIT margin	**4.18%**
FY2026 company-reported FCF	**$14.9B (CFO less capex)**
Illustrative FCFF enterprise value	**$278.1B | 80% terminal component**



Research view

Walmart increased total revenue from **$648.1B in FY2024** to **$713.2B in FY2026**. FY2026 operating income was $29.8B, equivalent to a 4.18% operating margin. The company continues to generate substantial operating cash flow, but FY2026 capital spending of $26.6B absorbs a significant portion of it.

A simple revenue and margin forecast yields a positive unlevered cash-flow stream. However, the DCF estimate is highly sensitive to long-run discount and growth assumptions. It is a **teaching valuation, not a stock-price target**.

Model assumptions

Five-year forecasts assume growth gradually easing from 4.6% to 3.5%, EBIT margin rising from 4.2% to 4.4%, 25% modeled tax, D&A at 2.0% of revenue, capital expenditure at 3.5%, additional net working capital of 0.25% of incremental revenue, WACC 7.5%, terminal growth 2.5%. All are **student-case assumptions**, not disclosed management guidance.

Forecast FCFF = EBIT x (1 - tax) + D&A - capex - incremental NWC. Discounted terminal value accounts for around 80% of this example enterprise value; small changes in WACC and terminal growth matter substantially.

Limitations and next steps

Financial statements through FY2026 only; no live share price, peer multiples, enterprise-to-equity bridge, lease/debt adjustment, or segment-specific scenario. Review quarterly filings, build comparables and stress test capex intensity before any practical investment use.

Source: Walmart FY2026 Form 10-K, March 2026: https://www.sec.gov/Archives/edgar/data/104169/000010416926000055/wmt-20260131.htm